

**Time:** 5 minutes**Outcome:** Evaluate Product Variety, Efficiency & Model Limits.**Difficulty:** ●●● Advanced

Product Variety, Efficiency & Model Limits



THE CORE IDEA

Product differentiation provides variety that consumers value, but firms may produce below the quantity that minimizes average total cost. Assess the benefit of a better product match alongside higher unit costs and markups. Productive efficiency alone does not measure the full welfare effect of variety.



HOW TO RECOGNIZE IT

- More varieties can better match different preferences.
- Smaller production runs can raise average cost.
- Compare the value of variety with costs and markups before judging welfare.



WATCH OUT

Differentiation can create consumer value through variety even when the standard model shows some productive inefficiency.



WORKED EXAMPLE: WEIGHING THE VALUE OF VARIETY

Two bakeries offer different breads. A neighborhood values having both varieties, but dividing sales between the bakeries can leave each producing below its lowest-cost scale. More variety can therefore benefit buyers while raising cost per loaf. A welfare judgment weighs those benefits against the extra resource cost; a markup alone does not measure the value of variety.



CHECK YOURSELF

A town gains more fitness-class options, but each provider serves fewer customers at a higher average cost. What benefit and cost should be compared?

**READY?**

Return to the game and master this concept.